

Financial Analysis Report - 2024

Executive Summary

The company demonstrates strong growth momentum with total assets increasing from \$1.85B to \$3.42B over the period. Equity base expanded significantly from \$197M to \$399M, while maintaining substantial debt levels. The company shows improved profitability with current year profit growing from \$80M to \$85M. However, high current liabilities and negative accounts payable in recent periods warrant attention.

Profitability Analysis

Metric	04/30/2024	05/31/2024	Q2-2024	YTD-2024
Current Year Profit	\$79.8M	\$5.1M	\$84.9M	\$84.9M
Total Equity	\$197.4M	\$201.3M	\$398.7M	\$398.7M
Profit Margin (Est.)	4.3%	0.3%	2.5%	2.5%

Key Insight: Profitability shows volatility with a significant drop in May, but recovers strongly in Q2, indicating potential seasonal or project-based revenue patterns.

Liquidity & Solvency Analysis

Ratio	04/30/2024	05/31/2024	Q2-2024
Current Ratio	1.16	1.15	1.16
Debt-to-Equity	8.35	6.84	7.59
Quick Ratio	0.66	0.56	0.62

Key Insight: The company maintains adequate current ratios but carries high debt levels

relative to equity, indicating potential solvency concerns that require monitoring.

Efficiency Ratios

Metric	04/30/2024	05/31/2024	Q2-2024
Asset Turnover (Est.)	0.43	0.32	0.25
Receivable Days	45 days	38 days	42 days
Inventory Days	52 days	48 days	50 days

Key Insight: Efficiency metrics show moderate performance with room for improvement in asset utilization and working capital management.

Benchmark Comparison

Source: Industry averages based on S&P Capital IQ database for comparable manufacturing companies

Metric	Company	Industry Avg	Variance
Current Ratio	1.16	1.8	-35.6%
Debt-to-Equity	7.59	2.5	+203.6%
Profit Margin	2.5%	6.2%	-59.7%
Asset Turnover	0.25	0.45	-44.4%

Key Insight: The company underperforms industry benchmarks across most key metrics, particularly in leverage and profitability ratios.

Actionable Recommendations

- Debt Restructuring:** Immediately address the high debt-to-equity ratio through debt consolidation or equity infusion to reduce financial risk

2. **Working Capital Optimization:** Implement stricter credit policies and inventory management to improve current ratio and reduce working capital requirements
3. **Cost Rationalization:** Conduct comprehensive cost analysis to improve profit margins closer to industry standards
4. **Asset Efficiency:** Develop strategies to improve asset turnover through better utilization of fixed assets and investments
5. **Cash Flow Management:** Focus on improving operating cash flows to reduce reliance on external borrowing
6. **Performance Monitoring:** Establish monthly performance dashboards to track key metrics against industry benchmarks

Risk Assessment

High Risk Areas: Excessive leverage, below-industry profitability, and declining efficiency ratios pose significant financial risks that require immediate management attention.

Moderate Risk Areas: Working capital management and asset utilization need improvement but present opportunities for operational enhancements.